

■ Trading Synthetic Contracts

Do you sometimes get the feeling that trading all asset classes on all the world's exchanges is not enough diversification? This can at times be very true and if you are looking for ways to achieve uncorrelated returns and separate yourself from the pack of trend followers, you may need to look beyond just trading single markets. One way to do this is to construct synthetic contracts, or spreads, if you prefer, and treat them just like they were a normal futures market. The idea is that you take two or more contracts that are in some way related, make a new time series showing the difference between the prices of the two markets, and then apply standard trend-following strategies on this. When you trade it, you will always have a long leg and a short leg of the trade, theoretically cancelling out the commonalities of the markets involved and trading only the differences.

A simple example is the classic gold against silver trade. At times, silver may show stronger relative performance than gold during prolonged periods, whereas the opposite may be true at other times. By treating the difference in the two prices as a time series all by itself, measuring trends and breakouts as we do for all other markets, you can trade this practically the same way by going long on one of them and short on the other. There are a couple of differences, however, that are important to remember. First, if you start off with two equally balanced legs of the trade and successfully hold onto it for some time, you may find yourself with a very mismatched position. As the long leg increases in price, that position grows larger. If the short position decreases, it grows smaller. You need to keep an eye on this and make sure your position remains roughly balanced. A second concern is that the volatility of spreads such as this is usually much lower than that of the individual contracts. As gold and silver commonly move up and down on the same days but in different degrees, you need to take on much larger notional positions in each asset to get sufficient profit potential. This means a potentially greater risk, but it can also mean much higher margin requirements, depending on how your broker views this kind of trade and how it calculates the combined margins of these trades. Some brokers simply add the margins up, which would make these spreads practically impossible to fund.

Besides gold to silver, there are many popular spreads to use for this purpose, not least in the energy space. The crack spread as an example refers to the theoretical profit margin of an oil refinery, that is, the difference between the crude oil price and the petroleum products that are